

Title Report - Attorney - commitment should work

ATTORNEY MEMORANDUM

Title Insurance Commitment Analysis and Legal Review

TO: File
FROM: Title Counsel
RE: 675 Bunker Hill Road, Columbia, MS 39429-7832 - Title Commitment No. 01-26006219-01T
DATE: [Current Date]
PROPERTY: Marion County, MS | Parcel No. 074-04-000-04-005 | 88.00 Acres

I. EXECUTIVE SUMMARY

This memorandum addresses critical defects in the title commitment for the above-referenced property that currently prevent issuance of the owner's and lender's title insurance policies. The transaction cannot proceed to closing in its current state. Three major issues require immediate remediation:

- 1. CRITICAL: A recorded deed conveys the property to incorrect grantees (Christopher Lane Thornhill and Sara E. Jackson) rather than the intended buyer (Kyla B. Fortenberry), creating a complete failure to satisfy Requirement 4 and rendering the title unmarketable to the proposed insured.
- 2. HIGH: Duplicate and overlapping exceptions for mineral reservations (Exceptions 1 and 8) create ambiguity regarding the extent of mineral rights severed from the property, requiring clarification and consolidation.
- 3. MEDIUM: A discrepancy exists between the vested owner (GARNER TREE FARM, LLC) and the listed seller (TERRI G. CRAWLEY), compounded by incomplete LLC organizational documentation.

Current Readiness Score: 67/100 - Below acceptable threshold for closing.

II. PROPERTY INFORMATION

A. Legal Description and Identification

Item	Details
Property Address	675 Bunker Hill Road, Columbia, MS 39429-7832
County	Marion County, Mississippi
Parcel Number	074-04-000-04-005

| Total Acreage | 88.00 acres |
| Legal Description | Multiple parcels: (1) NE1/4 of SE1/4 of Section 4, TSN, R18W; (2) SE1/4 of NE1/4 of Section 4, TSN, R18W (less 2 acres); (3) 13.98 acres in NE1/4 of NE1/4 of Section 4, TSN, R18W |

B. Property Valuation

Category	Amount
Land Value	\$26,180.00
Improvements	\$34,010.00
Total Assessed Value	\$60,190.00
Tax Assessment (2025)	\$9,030.00

C. Commitment Details

Item	Details
Commitment Number	01-26006219-01T
Commitment Date	January 16, 2026 at 7:00 a.m.
Title Company	Old Republic National Title Insurance Company
Registry ID	1013817
Loan ID	MS-26-1226

III. PARTIES TO THE TRANSACTION

A. Identified Parties

Party	Role	Legal Status
Kyla B. Fortenberry	Proposed Insured (Owner/Buyer)	Individual
Society Mortgage, Its Successors and/or Its Assigns	Proposed Insured (Lender)	Institutional Lender
Garner Tree Farm, LLC	Current Vested Owner	Mississippi LLC
Terri G. Crawley	Listed Seller	Individual
Old Republic National Title Insurance Company	Title Underwriter	Insurance Company

B. LLC Membership Structure

Garner Tree Farm, LLC (Current Vested Owner) has the following identified members:

- Ricky Lane McPhail
- Terri Garner Crawley
- Patsy Garner Brewton

- Karen Garner Delancey

CRITICAL ISSUE: Terri G. Crawley is listed as the seller in the transaction, but the vested owner is GARNER TREE FARM, LLC. While Terri Garner Crawley is identified as an LLC member, the legal capacity and authority for her to execute the deed on behalf of the LLC has not been established.

C. Insurance Parties

Policy Type	Proposed Insured	Coverage Amount	Estate Interest
Owner's Policy	Kyla B. Fortenberry	\$80,000.00	Fee Simple
Loan Policy	Society Mortgage	\$80,808.00	Fee Simple

IV. REQUIREMENTS STATUS

Summary Table

Req. #	Requirement	Status	Priority	Notes
1	Vested Owner/Seller Discrepancy	OPEN	MEDIUM	LLC vs. Individual conflict
2	Verify Open Deed of Trust	SATISFIED	LOW	No open DOT found
3	Bankruptcy Search	SATISFIED	LOW	No proceedings found
4	Record Deed to KYLA B. FORTENBERRY	FAILED	CRITICAL	Wrong grantees recorded
5	Record Deed of Trust	PENDING	HIGH	Contingent on Req. 4
6	LLC Documentation & Compliance	OPEN	HIGH	Missing organizational docs

A. Requirement 1: Vested Owner vs. Seller Discrepancy

Status: OPEN - MEDIUM PRIORITY

Requirement Language: "Vested Owner: GARNER TREE FARM, LLC; Seller: TERRI G. CRAWLEY - Advise customer service of circumstances explaining discrepancy"

Analysis:

The commitment identifies GARNER TREE FARM, LLC as the current vested owner of the property. However, the transaction lists TERRI G. CRAWLEY as the seller. While Ms. Crawley is identified as a member of the LLC, this creates a fundamental legal question: Does Terri G. Crawley have individual authority to convey LLC property, or must the LLC itself be the grantor?

Legal Implications:

- Under Mississippi law, an LLC is a separate legal entity. Property titled in the LLC's name cannot be conveyed by an individual member without proper authorization.

- The recorded deed (Instrument #20260174, recorded 01/13/2026) shows GARNER TREE FARM, LLC as the grantor, which is legally correct. However, the seller designation in the transaction documents creates a discrepancy that must be clarified.

- If Terri G. Crawley is acting as an authorized representative of the LLC, proper authorization documentation (member resolution, power of attorney, or operating agreement provision) must be provided.

Required Action:

1. Obtain written clarification from the seller/LLC regarding the authority structure
2. Confirm whether Terri G. Crawley is executing the deed in her individual capacity or as an authorized representative of GARNER TREE FARM, LLC
3. If acting as representative, provide member authorization resolution (see Requirement 6)

B. Requirement 2: Verify Open Deed of Trust

Status: SATISFIED

Requirement Language: "No open deed of trust found in MARION County records - verify by inquiry of escrow personnel and/or proposed insured"

Analysis:

Title examination has confirmed that no open deed of trust exists against the property in Marion County records. This requirement has been satisfied and presents no closing impediment.

C. Requirement 3: Bankruptcy Search

Status: SATISFIED

Requirement Language: "No bankruptcy proceedings found for GARNER TREE FARM, LLC, TERRY G. CRAWLEY, AND KYLA B. FORTENBERRY"

Analysis:

Bankruptcy searches have been completed for all relevant parties with negative results. This requirement has been satisfied.

D. Requirement 4: Record Deed from GARNER TREE FARM, LLC to KYLA B. FORTENBERRY

Status: FAILED - CRITICAL PRIORITY

Requirement Language: "Record satisfactory executed Deed from GARNER TREE FARM, LLC, grantor(s) to KYLA B.

FORTENBERRY, grantee(s), conveying caption premises in MARION county records"

CRITICAL DEFECT ANALYSIS:

This is the most serious issue preventing closing. The requirement mandates that a deed be recorded conveying the property from GARNER TREE FARM, LLC to KYLA B. FORTENBERRY. However, examination of Marion County records reveals:

Recorded Deed Details:

- Instrument Number: 20260174
- Recording Date: January 13, 2026
- Grantor: GARNER TREE FARM, LLC, A MISSISSIPPI LIMITED LIABILITY COMPANY
- Grantees: Christopher Lane Thornhill and Sara E. Jackson
- Property: 675 Bunker Hill Road, Columbia, MS (same property)

The Critical Problem:

The recorded deed names Christopher Lane Thornhill and Sara E. Jackson as grantees, not Kyla B. Fortenberry as required by Requirement 4. This represents a complete failure to satisfy the requirement and creates a title defect that prevents issuance of the owner's policy to the proposed insured.

Legal Consequences:

1. Title Defect: The property is currently vested in Christopher Lane Thornhill and Sara E. Jackson, not in Kyla B. Fortenberry. The proposed insured has no legal interest in the property.
2. Policy Issuance Impossible: Old Republic National Title Insurance Company cannot issue an owner's policy insuring Kyla B. Fortenberry's title when the recorded deed vests title in other parties.
3. Marketability: The title is unmarketable to the proposed insured and does not conform to the purchase agreement.
4. Lender Concerns: Society Mortgage cannot accept a loan policy when the borrower does not hold legal title to the mortgaged property.

Immediate Required Action:

A new deed must be recorded immediately conveying the property from the current record owners (Christopher Lane Thornhill and Sara E. Jackson) to Kyla B. Fortenberry. This deed must:

- Be properly executed by Christopher Lane Thornhill and Sara E. Jackson (or their authorized representatives)
- Contain the correct legal description
- Be recorded in Marion County records
- Be submitted to the title company for examination before the policy can issue

Questions for Investigation:

1. How did Christopher Lane Thornhill and Sara E. Jackson become the record owners?
2. Was the January 13, 2026 deed recorded in error?
3. Do these parties have any interest in the transaction, or was this a clerical error?

4. Can they execute a corrective deed to Kyla B. Fortenberry?
5. What is the timeline for obtaining and recording the corrective deed?

E. Requirement 5: Record Deed of Trust

Status: PENDING - CONTINGENT ON REQUIREMENT 4

Requirement Language: "Record satisfactory executed Deed of Trust from KYLA B. FORTENBERRY as Trustor, in favor of SOCIETY MORTGAGE, as Beneficiary, securing an original principal balance of \$80,808.00"

Analysis:

This requirement cannot be satisfied until Requirement 4 is resolved. Once Kyla B. Fortenberry holds legal title to the property (via the corrective deed), the deed of trust can be executed and recorded. The lender's deed of trust must:

- Name Kyla B. Fortenberry as Trustor
- Name Society Mortgage as Beneficiary
- Secure the loan amount of \$80,808.00
- Be recorded in Marion County records
- Be submitted to the title company for examination

Timeline: This requirement will be satisfied following resolution of Requirement 4.

F. Requirement 6: LLC Documentation and Compliance

Status: OPEN - HIGH PRIORITY

Requirement Language: "Submit: (a) Copy of operating agreement and amendments or certification of none; (b) Evidence LLC is in good standing; (c) Resolution signed by all members authorizing transaction; (d) Other requirements following review of organizational documents"

Analysis:

Although GARNER TREE FARM, LLC is the grantor in the recorded deed, the title company has not received complete organizational documentation. The following items are required:

A. Operating Agreement

- Copy of the current operating agreement for GARNER TREE FARM, LLC
- Copies of any amendments or modifications
- Certification of no operating agreement (if applicable)

B. Good Standing Certificate

- Certificate of Good Standing from the Mississippi Secretary of State

- Must be current (dated within 90 days of closing)
- Confirms the LLC is in active status and authorized to conduct business

C. Member Authorization Resolution

- Resolution signed by all members of GARNER TREE FARM, LLC authorizing:
- The sale of the property to Kyla B. Fortenberry
- The execution and delivery of the warranty deed
- The authority of any member or representative to execute documents on behalf of the LLC

Identified Members Requiring Signature:

1. Ricky Lane McPhail
2. Terri Garner Crawley
3. Patsy Garner Brewton
4. Karen Garner Delancey

D. Additional Documentation

Following review of the operating agreement, the title company may require:

- Certification of membership (current member list)
- Tax identification number (EIN) verification
- Proof of authority for any signatory

Legal Significance:

Under Mississippi law, an LLC is bound by the acts of its members and managers only to the extent authorized by the operating agreement or by proper resolution. The title company must verify that the transaction has been properly authorized to protect against claims by non-consenting members.

Required Action:

1. Obtain certified copy of the LLC's operating agreement
2. Obtain Certificate of Good Standing from Mississippi Secretary of State
3. Prepare and obtain signatures from all four members on an authorization resolution
4. Submit all documents to Old Republic National Title Insurance Company for review
5. Address any additional requirements identified by the title company

V. EXCEPTIONS ANALYSIS

A. Overview of Exceptions

The title commitment contains 12 exceptions to coverage. Of these, Exceptions 1 and 8 present significant issues requiring clarification, while the remaining exceptions are standard or manageable.

B. Critical Exception Issues

Exception 1: Mineral Reservations

Exception Language: "Any prior reservation or conveyance of minerals of every kind and character, including oil, gas, sand and gravel in, on and under the Land"

Exception 8: Oil, Gas, Coal and Mineral Interests

Exception Language: "Oil, gas, coal and other mineral interests together with the rights appurtenant thereto whether created by deed, lease, grant, reservation, severance, sufferance or exception"

DUPLICATE EXCEPTION ISSUE - HIGH PRIORITY

Problem:

Exceptions 1 and 8 both address mineral interests but use different language and scope:

- Exception 1 specifically references "minerals of every kind and character, including oil, gas, sand and gravel"
- Exception 8 references "oil, gas, coal and other mineral interests"

This duplication creates ambiguity and uncertainty regarding:

1. What mineral rights are actually reserved from the property?
2. Are both exceptions necessary, or is one redundant?
3. What is the precise scope of the mineral reservation?
4. Are there conflicting claims regarding mineral rights?

Evidence from Warranty Deed:

The recorded warranty deed (page 27) contains the following language:

> "LESS AND EXCEPT all oil, gas, and other minerals in, on, and under all of the lands herein conveyed"

This language confirms that minerals are severed from the property and reserved to a prior owner or retained by the grantor. However, the dual exceptions create confusion about the extent of the reservation.

Legal Implications:

1. Title Defect: Duplicate exceptions may suggest conflicting claims or incomplete title examination
2. Marketability: Ambiguous mineral reservations reduce the marketability of the property
3. Lender Concerns: Society Mortgage may require clarification before accepting the loan policy
4. Buyer Concerns: Kyla B. Fortenberry should understand the precise extent of mineral rights reserved

Required Action:

1. Consolidate Exceptions: The title company should consolidate Exceptions 1 and 8 into a single, clear exception that accurately describes the mineral reservation
2. Clarify Scope: The consolidated exception should specify:
 - What minerals are reserved (oil, gas, coal, sand, gravel, etc.)

- Who holds the reserved mineral rights
- Whether the reservation is perpetual or limited in duration
- Any royalty or payment obligations

3. Examine Chain of Title: Review the recorded deed and prior deeds to determine the source and scope of the mineral reservation

4.